

CONSOLIDATED PERFORMANCE

+4.1%

FFO per share YoY

+28.2%

EPS YoY

+12.3%

NAV YoY

- **Value created** to shareholders across all metrics
- **FFO per share** of **€ 0.47** (+4.1% YoY) and **NAV per share** (no revaluation in the period) at **€ 12.02** (+12.3% YoY)
- **AFFO** (€ 0.45 per share) **on track** to meet full year upgraded **2017 guidance** (€ 0.58 per share)
- **Annual increased trend in occupancy** temporarily affected this quarter by the relocation of Renault from Adequa to Avda Europa, mitigated by the lease signed with Audi in Adequa

(€ million)	9M17	9M16	YoY
Total revenues	364.0	236.7	+53.8%
Gross rents	352.3	229.5	+53.5%
Net rents	311.3	210.9	+47.6%
Gross-to-net margin	88.4%	91.9%	
EBITDA ⁽¹⁾	297.7	202.5	+47.0%
Margin	84.5%	88.2%	
FFO ⁽²⁾	221.6	146.4	+51.4%
AFFO	212.1	n.a.	n.a.
Net earnings	475.3	254.9	+86.5%

(€ per share)	9M17	9M16	YoY
FFO	0.47	0.45	+4.1%
AFFO	0.45	n.a.	n.a.
EPS	1.01	0.79	+28.2%
NAV	12.02	10.71	+12.3%

BUSINESS PERFORMANCE

+2.8%

Rents like-for-like⁽³⁾ YoY

Same perimeter
as 9M16
(Excludes MVC)

+3.3% **+4.1%** **+13.5%**

Office S. Centers Logistics
Release spread

All
portfolio
in 9M17

+105 bps

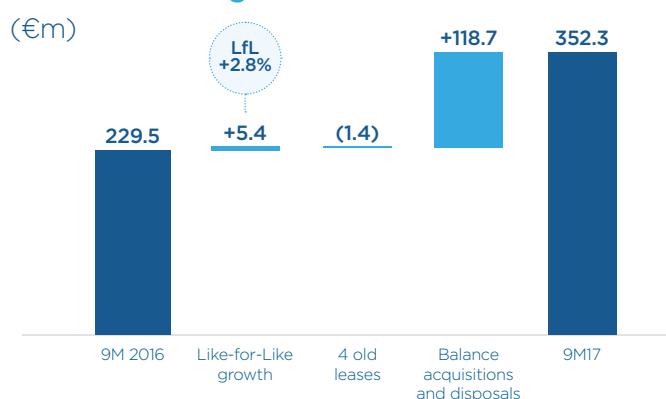
Occupancy vs 31/12/16

92.5%

- **Office:** 400,967 sqm contracted. **LfL⁽³⁾** of **+3.0%** and **release spread** of **+3.3%**
- **Shopping centers:** 91,882 sqm contracted. **LfL⁽³⁾** of **+4.2%** and **release spread** of **+4.1%**
- **Logistics:** 274,322 sqm contracted. **LfL⁽³⁾** of **+8.0%** and **release spread** of **+13.5%**

	Contracted	Rent 9M17		Leasing activity	Occ. vs 31/12/16
	sqm	€m	LfL change	Release spread	bps
Office	400,967	163.9	+3.0%	+3.3%	+13
Shopping centers	91,882	69.6	+4.2%	+4.1%	+54
High street retail	n.a.	78.2	+0.9%	n.m.	-
Logistics	274,322	29.9	+8.0%	+13.5%	+260
Other	n.a.	10.7	+7.5%	n.m.	-42
Total	767,171	352.3	+2.8%		+105

Gross rents bridge



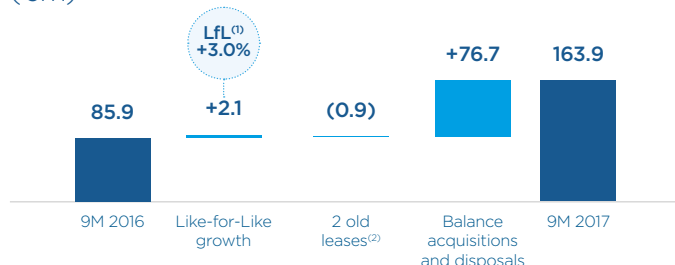
⁽¹⁾ Excludes non-recurring items (€ 3.7m) plus LTIP accrual (€ 40.1m)

⁽²⁾ FFO equals EBITDA less net interest payments, less minorities, less recurring income taxes plus share in earnings of equity method. FFO reported in 9M16 has been rebased in accordance with this methodology

⁽³⁾ Portfolio in operation for the 9M16 (€ 193.0m of GRI) and for the 9M17 (€ 198.5m of GRI)

OFFICES

Gross rents bridge (€m)



Rents breakdown

	Gross rents 9M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
Madrid	132.6	169.2	16.5
Barcelona	22.2	30.0	13.4
Lisbon	6.8	11.4	18.0
Other	2.3	2.9	10.7
Total	163.9	213.5	15.9

Leasing activity

- **Good performance** in our 3 core markets, delivering **+3.3% release spread** on average
- **Main tenants contracted in 3Q:**
 - 33,718 sqm renewed with Indra in Avda Bruselas 33, Madrid
 - 5,978 sqm new lease with Audi in Adequa, Madrid
 - 10,619 sqm renewed with Ferrovial in PE Puerta de las Naciones, Madrid
 - 5,190 sqm renewed with Agencia Tributaria Cataluña in E-Forum, Barcelona

	Contracted Sqm	Out	In	Renewals	Net	Release spread	# Contracts
Madrid	340,641	(67,533)	66,265	274,377	(1,268)	+3.2%	144
Barcelona	58,066	(11,461)	17,884	40,182	6,423	+4.0%	54
Lisbon	2,260	(908)	343	1,917	(565)	+5.1%	3
Total	400,967	(79,902)	84,492	316,476⁽³⁾	4,590	+3.3%⁽⁴⁾	201⁽⁴⁾

Occupancy

- **Increased trend in occupancy remains.**
The quarter is impacted by the programmed exit of Renault from Adequa (-27,399 sqm) partially offset by its relocation to Avda. Europa (+12,606 sqm) and the lease to Audi in Adequa (+5,978 sqm)
- **Excellent performance in Barcelona** (+298 bps), driven by the new leases in Balmes 236-238, Sant Cugat I, Diagonal 458 and Citypark Cornellà
- Lisbon perimeter changed after the acquisition of Marques de Pombal, 3, with 64% occupancy
- By markets, **best performer in the quarter has been Madrid Periphery**, namely Atica and Plantio

Stock	1,267,344 sqm
WIP	95,923 sqm
Stock incl. WIP	1,363,267 sqm

	Occupancy rate		Change bps
	30/09/17	31/12/16	
Madrid	87.8%	87.9%	(16)
Barcelona	88.7%	85.7%	+298
Lisbon	86.6%	94.2%	(764)
Other	100.0%	100.0%	0
Total	88.1%	87.9%	+13

⁽¹⁾ Office portfolio in operation for the 9M16 (€ 72.5m of GRI) and for the 9M17 (€ 74.7m of GRI)

⁽²⁾ Vestas and Endesa-Sevilla

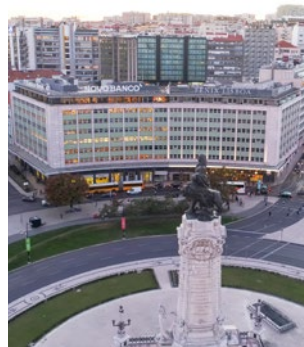
⁽³⁾ Including 47,955 sqm of contractual roll-overs not considered for the release spread analysis

⁽⁴⁾ Excluding other

OFFICES (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Investments



Marqués de Pombal, 3

- **10-storey landmark building** comprising 9,435 sqm for office and 3,025 sqm for retail
- **Located in the best spot within Lisbon Prime CBD** area, in Praça Marques de Pombal, the junction between Avenida da Liberdade and Fontes Pereira de Melo
- **Significant growth potential** through an active asset management to be focused on increasing office occupancy and enhancing the retail area into upper scale

GLA **12,460 sqm**ERV **€ 3.9m**ERV YoC **6.5%**Occupancy **64%**Investment **€ 60.5m**

WIP



Torre Chamartín

Scope	Acquisition	Capex	% executed	GLA (sqm)	Delivery	Pre-let
Development	€ 31m	€ 31m	64%	16,639	Mar-18	-



Torre Glòries

Reconversion	€ 142m	€ 15m	2%	37,614	Mar-18	-
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Refurbishments



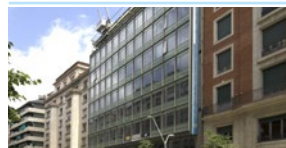
Puerta de las Naciones

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Full refurb	€ 6.4m	97%	10,619	Dec-17	100%



Eucalipto 33

Full refurb	€ 3.6m	64%	7,185	Dec-17	-
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Balmes

Full refurb	€ 1.8m	1%	6,187	Jun-18	100%
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Juan Esplandiú

Façade + lobby + individual floors	€ 1.8m	82%	28,008	Dec-17	84%
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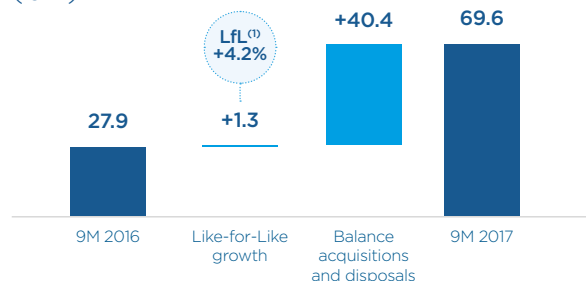
Monumental

Full refurb (incl. SC)	€ 19.1m	2%	22,387	Dec-19	Initial phase
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SHOPPING CENTERS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 9M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
MERLIN	69.6	91.8	19.2

Footfall and tenant sales⁽²⁾

	9M17 LTM	9M16 LTM	YoY
Footfall	91.5m	90.4m	+1.3%
Tenant sales	€ 790.1m	€ 770.4m	+2.7%
OCR ⁽²⁾	12.7%		

Leasing activity

- **Portfolio showing strength:** positive footfall, tenant sales, release spread and LfL rental growth
- **Main tenants contracted in 3Q:**
 - 820 sqm new lease with Decimas in La Vital
 - 211 sqm new lease with Goiko Grill in Arturo Soria
 - 273 sqm new lease with Primor in Porto Pi
 - 484 sqm renewed with Tagliatella in Thader

	Contracted	Out	In	Renewals	Net	Release spread	# Contracts
Total	91,882	(20,368)	23,040	68,842 ⁽³⁾	2,672	+4.1%	120

Occupancy

- **Positive move** in occupancy (+54 bps)
- **Best performers** in the quarter have been El Saler and La Fira

Stock	422,280 sqm
X-Madrid+Tres Aguas ⁽⁴⁾	114,433 sqm
Stock with X-Madrid+Tres Aguas	536,713 sqm

	Occupancy rate		Change bps
	30/09/17	31/12/16	
Total	89.1%	88.6%	+54

⁽¹⁾ Shopping centers portfolio in operation for the 9M16 (€ 29.5m of GRI) and for the 9M17 (€ 30.7m of GRI) assuming full consolidation of Arturo Soria SC

⁽²⁾ Excluding assets impacted by the "opening effect" of a new shopping center in the previous 24 months (Porto Pi)

⁽³⁾ Including 41,485 sqm of contractual roll-overs not considered for the release spread analysis

⁽⁴⁾ Tres Aguas at 100% allocation

SHOPPING CENTERS (CONT.)

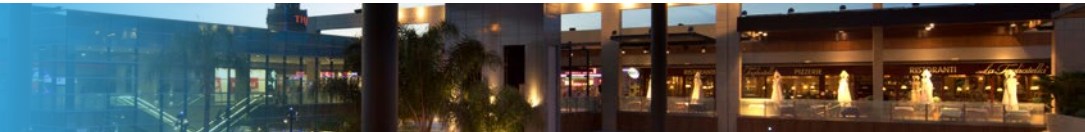
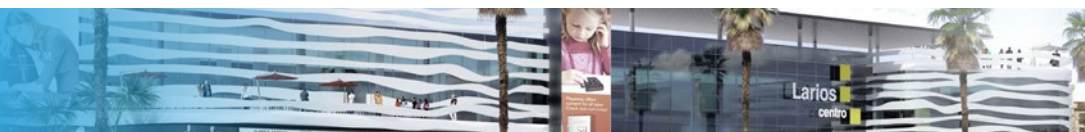
INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Investments

Several retail units have been acquired in 3Q:

Shopping center	GLA (sqm)	Price (€ m)
El Saler	3,175	12.0
Larios	2,845	2.5
Porto Pi	464	1.7
Total	6,259	16.2

Refurbishments⁽¹⁾

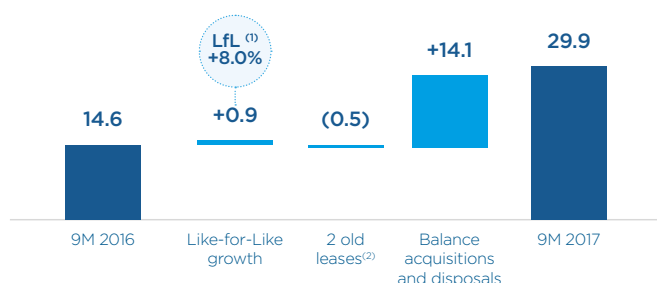
Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
El Saler 					
Extension (+2,700 sqm), façade and accesses	€ 15.2m	6%	47,013	Dec-18	Initial phase
Thader 					
Nickelodeon park and common areas	€ 8.9m	85%	5,096	Oct-17	100%
Arturo Soria 					
Façade, accesses, installations, lighting and floors	€ 3.9m	30%	6,959	Apr-18	n.a.
Larios 					
Full refurb	€ 21.2m	1%	45,076	Dec-18	n.a.
X-Madrid 					
Full revamp	€ 31.8m	2%	47,424	Dec-18	70%
Porto Pi 					
Full refurb	€ 16.0m	3%	58,779	Mar-20	n.a.

⁽¹⁾ GLA and Capex budget for shopping centers refurbishments include 100% of the asset, regardless of the stake owned by MERLIN in the owners' community

LOGISTICS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 9M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
Madrid	13.8	21.7	3.6
Barcelona	8.0	10.7	5.0
Other	8.0	10.0	3.5
Total	29.9	42.5	3.9

Leasing activity

- Strong market dynamics driving a **very positive release spread** in **Madrid (+13.1%)** and **Barcelona (+26.3%)**
- **Main tenants contracted in 3Q:**
 - 29,544 sqm new lease with IDL in Madrid-Pinto
 - 11,099 sqm new lease with Saint Gobain in Madrid-Pinto
 - 35,285 sqm renewed with Dachser in Madrid-Meco
 - 5,083 sqm renewed with ASM in PLZF, Barcelona

	Contracted	Out	In	Renewals	Net	Release spread	# Contracts
Madrid	208,974	-	90,435	118,539	90,435	+13.1%	8
Barcelona	38,216	(942)	26,730	11,486	25,788	+26.3%	3
Other	27,132	(10,958)	4,860	22,272	(6,098)	-	1
Total	274,322	(11,900)	122,026	152,296⁽³⁾	110,126	+13.5%	12

Occupancy

- **Madrid portfolio is fully occupied**
- Sevilla ZAL lost occupancy due to the exit of two local operators

Stock	962,178 sqm
WIP	554,407 sqm
Stock incl. WIP	1,516,585 sqm
ZAL Port	502,941 sqm
Stock managed	2,019,526 sqm

	Occupancy rate		
	30/09/17	31/12/16	Change bps
Madrid	100.0%	100.0%	-
Barcelona	98.6%	86.6%	+1.207
Other	93.3%	96.8%	(349)
Total	98.0%	95.4%	+260

⁽¹⁾ Logistics portfolio in operation for the 9M16 (€ 11.6m of GRI) and for the 9M17 (€ 12.6m of GRI)

⁽²⁾ UPS and Logista

⁽³⁾ Including 22,309 sqm of contractual roll-overs not considered for the release spread analysis

LOGISTICS (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Investments



Madrid-Pinto

- **Logistics park** located in the **A-4 corridor**, 17 kms from Madrid
- **Excellent connections** to A-4, M-50 and A-42
- **Divided in 3 modules**, 100% let to Saint Gobain, ID Logistics and Media Markt
- GLA completed in 3Q17 (2 modules) is **40,642 sqm**

GLA **70,115 sqm**GRI **€ 2.6m**YoC **9.8%**Occupancy **100%**Investment **€ 26.0m**

Developments

Budget	% executed	GLA (sqm)	Delivery	Pre-let
				
Meco II				
€ 29.4m	100%	59,891	Oct-17	100%
				
Azuqueca II				
€ 47.4m	2%	98,000	TBD	-
				
Sevilla ZAL I				
€ 2.7m	57%	5,400	Jan-18	100%
				
San Fernando I				
€ 9.5m	2%	11,165	Mar-18	-
				
Cabanillas Park II				
€ 107.4m	14%	210,678	Jun-19/20/21	Initial phase
				
Azuqueca III				
€ 29.8m	-	51,000	Jun-19	Initial phase

BALANCE SHEET

- On September 18, 2017, MERLIN completed the issuance of € 300m of unsecured bonds, with 12-year maturity and an annual coupon of 2.375%

	€ million
GAV (no revaluation in the period)	10,556
Gross financial debt	5,511
Cash ⁽¹⁾	(702)
Net financial debt	4,809
NAV	5,648

Ratios

LTV	45.6%
Av. interest rate	2.24%
Av. Maturity (years)	6.3
Unsecured debt to total debt	77.2%
Interest rate fixed	98.4%
Liquidity position ⁽²⁾ (€m)	1,122

Corporate rating

S&P Global	BBB
MOODY'S	Baa2

INVESTMENTS, DIVESTMENTS AND CAPEX

- € 252.2m of assets acquired and € 10.4m of assets divested in the nine months period (+9% premium vs latest reported appraisal)
- Intense period of asset management driving significant development and refurbishment activity for a total amount of € 95.4m and € 38.7m, respectively

	Office	Retail	Logistics	€ million
Acquisitions	Torre Glories Central Office Marqués de Pombal, 3	Porto Pi units El Saler unit Larios unit		252.2
Development & WIP	Torre Chamartin Torre Glòries		Madrid-Meco II Madrid-Pinto Guadalajara-Azuqueca Cabanillas Park I (B, C, D & E) Cabanillas Park II Madrid Getafe (Gavilanes) Sevilla-ZAL	95.4
Refurbishment	Juan Esplandiú Avda. Europa 1A Eucalipto 33 Puerta de las Naciones	Marineda El Saler Arturo Soria Larios Porto Pi X-Madrid		38.7
Like-for-like portfolio (Defensive Capex) ⁽³⁾				11.4
Total				397.6

⁽¹⁾ Includes cash and receivable of hotels disposal (€ 51.5m)

⁽²⁾ Includes available cash plus receivable of hotels disposal and unused credit facilities (€ 420m)

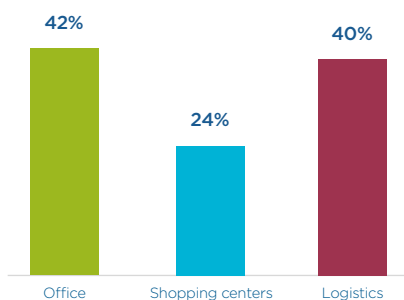
⁽³⁾ € 9.6m capitalized in balance sheet and € 1.8m expensed in P&L

SUSTAINABILITY

- 19 new LEED/BREEAM certificates obtained
- 4 certificates since last reported

Madrid-Meco	Josefa Valcárcel 48	Príncipe de Vergara 187	Madrid Cabanillas (B&C)	Avda Bruselas 26
				
LEED Platinum	LEED Gold	LEED Gold	LEED Gold	LEED Silver

% GAV certified



- 5 MERLIN Properties' shopping centers have been awarded by DIGA for the best practices in accessibility. Marineda achieved the maximum score



POST CLOSING EVENTS

- On October 9, MERLIN early repaid € 89.8m of mortgage debt
- On October 25, MERLIN paid an interim dividend out of the profits for fiscal year 2017, in a fixed amount of € 0.20 gross per share. Total disbursement amounted to € 93.5m

APPENDIX

1. Consolidated Profit and loss
2. Consolidated Balance sheet
3. Alternative measures of performance

1. Consolidated Profit and loss account

(€ thousand)	30/09/17	30/09/16
Gross rents	352,258	229,534
Office	163,883	86,501
High street retail	78,176	73,951
Shopping centres	69,588	27,361
Logistics	29,865	14,553
Other	10,745	27,168
Other income	11,703	7,135
Total revenues	363,961	236,669
Incentives	(12,467)	(4,575)
Collection loss	(1,116)	(703)
Total operating expenses	(96,528)	(40,311)
Property expenses not recharged to tenants	(27,406)	(13,358)
Personnel expenses	(18,542)	(11,347)
Recurring general expenses	(6,779)	(4,216)
Non-recurring general expenses	(3,676)	(11,390)
LT Incentive Plan non-cash provision	(40,125)	-
EBITDA	253,850	191,080
Depreciation	(5,781)	(3,280)
Gain/ (losses) on disposal of assets	(705)	641
Provision surpluses	-	(4)
Negative difference on business combination	(5,313)	379
Absorption of the revaluation of investment property	(9,839)	(114,278)
Change in fair value of investment property	332,610	275,223
EBIT	564,822	349,761
Net interest expense	(78,795)	(44,826)
Debt amortization cost	(10,226)	(12,075)
Gain/ (losses) on disposal of financial instruments	63	(513)
Change in fair value of financial instruments	(5,148)	(26,267)
Share in earnings of equity method investees	8,674	(1,285)
PROFIT BEFORE TAX	479,390	264,795
Income taxes	(3,450)	(9,810)
PROFIT (LOSS) FOR THE PERIOD	475,940	254,985
Minorities	(594)	(67)
PROFIT (LOSS) FOR THE PERIOD ATTRIBUTABLE	475,346	254,918

2. Consolidated Balance sheet

(€ thousand)

ASSETS	30/09/17	EQUITY AND LIABILITIES	30/09/17
NON CURRENT ASSETS	10,748,322	EQUITY	5,202,761
Intangible assets	245,381	Subscribed capital	469,771
Property plant and equipment	17,304	Share premium	3,970,842
Investment property	9,744,936	Reserves	341,904
Investments accounted for using the equity method	324,897	Treasury stock	(35,498)
Non-current financial assets	271,521	Other equity holder contributions	540
Deferred tax assets	144,283	Interim dividend	-
		Profit for the period	475,346
		Valuation adjustments	(39,250)
		Minorities	19,106
		NON CURRENT LIABILITIES	6,088,600
		Long term debt	5,441,062
		Long term provisions	62,273
		Deferred tax liabilities	585,265
CURRENT ASSETS	826,488	CURRENT LIABILITIES	283,449
Trade and other receivables	101,229	Short term debt	196,711
Short term financial assets	73,297	Short term provisions	867
Cash and cash equivalents	646,357	Trade and other payables	62,990
Other current assets	5,605	Other current liabilities	22,881
TOTAL ASSETS	11,574,810	TOTAL EQUITY AND LIABILITIES	11,574,810

3. Alternative measures of performance

In accordance with the recommendations issued by the European Securities and Markets Authority (ESMA), the alternative measures of performance are described as follows.

Glossary

Average debt maturity (years)

It represents the average debt duration of the Company until maturity.

Average Passing Rent

It represents the rent for sqm/month to which an asset or category of assets is rented as of 30 September.

EBITDA

Earnings before net revaluations, amortizations, provisions, interest and taxes.

EPRA costs

Recurring running costs of the Company divided by recurring rents.

EPRA Earnings (€ thousand)

Recurring earnings from core operational activities.

EPRA NAV (€ thousand)

EPRA Net Asset Value (EPRA NAV) is calculated based on the consolidated shareholders' equity of the Group adjusted to include properties and other investment interests at fair value and to exclude certain items not expected to crystallise in a longterm investment property business model, as per EPRA's recommendations.

EPRA NNNAV (€ thousand)

EPRA NAV adjusted to include the fair value of financial instruments, debt and deferred taxes.

EPRA Net Initial Yield

Annualised rental income based on the cash passing rents at the balance sheet date, less nonrecoverable property operating expenses, divided by the market value of the property, increased with acquisition costs.

EPRA "topped-up" NIY

Adjustment to the EPRA Net Initial Yield in respect of the expiration of rentfree periods (or other unexpired lease incentives such as discounted rent periods and step rents).

EPRA Vacancy Rate

Estimated Market Rental Value (ERV) of vacant space divided by ERV of the whole portfolio.

FFO

Recurring result of the Company calculated as EBITDA less debt interest expenses of the period.

GAV

Value of the commercial portfolio in accordance with the latest external valuation available as of 30 June 2017 plus advanced payments for turn-key projects and developments.

Gross annualized rents

Passing rent as of 30 September multiplied by 12.

Gross yield

It represents the gross yield of an asset or category of assets. It is calculated by dividing the annualized gross rent between the latest available GAV.

Recurring EBITDA

EBITDA less non-recurring general expenses of the Company and long-term incentive plan accrual.

Recurring FFO

FFO less non-recurring general expenses of the Company.

Release Spread

Difference between the new rent signed and the old prevailing rent on renewals (same space, same tenant) or relets (same space, different tenant) during the period of analysis

Rents Like-for-Like

Difference between the rents received in the period of analysis and the rents received on the similar period one year before for the same perimeter of assets

WAULT

Weighted average unexpired lease term, calculated as the number of years of unexpired lease term, as from 30 September 2017, until the lease contract expiration, weighted by the gross rent of each individual lease contract.



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